

An Act

ENROLLED HOUSE
BILL NO. 1590

By: Lepak of the House

and

Daniels of the Senate

An Act relating to public finance; enacting the Oklahoma Education Infrastructure Linked Deposit Program Act; defining terms; requiring State Treasurer to disseminate information; authorizing administration of program; authorizing issuance of guidelines; requiring annual report; providing for certain loan packages; prescribing procedures for applications to participate in program; imposing restriction on loan agreements; prohibiting certain conflict of interest; imposing requirement with respect to use of loan proceeds; providing for evaluation of education service entity; prescribing procedures for review; providing for determination of certain interest rate; prohibiting false statements; providing for review of loan packages by State Treasurer; prescribing procedures in the event of application rejections; providing for evaluation by State Treasurer; providing for placement of certain state funds; providing for deposit agreements; stating requirements of agreements; imposing duty on lending institution; prescribing requirement with respect to interest rate; providing for certificates of compliance; providing for immunity from liability; providing for effect of certain events related to loan agreement; prescribing maximum loan amount; authorizing renewals; providing for codification; and providing an effective date.

SUBJECT: Public finance

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 92.1 of Title 62, unless there is created a duplication in numbering, reads as follows:

This act shall be known and may be cited as the "Oklahoma Education Infrastructure Linked Deposit Program".

SECTION 2. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 92.2 of Title 62, unless there is created a duplication in numbering, reads as follows:

It is the purpose of the Oklahoma Education Infrastructure Linked Deposit Program to provide funding for eligible education service delivery entities. It is the specific intent of the Legislature that any funding provided to eligible education service delivery entities shall enhance educational opportunities for the children of this state.

SECTION 3. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 92.3 of Title 62, unless there is created a duplication in numbering, reads as follows:

As used in the Oklahoma Education Infrastructure Linked Deposit Program:

1. "Board" means the Statewide Charter School Board created pursuant to Section 3-132.1 of Title 70 of the Oklahoma Statutes;

2. "Education service entity" means a nonprofit organization or a charter school;

3. "Education service entity infrastructure" means construction of new buildings, expansions or rehabilitation of an existing building and items of tangible personal property integrated into a building, including, but not limited to, heating, air conditioning and ventilation (HVAC) systems;

4. "Education services linked deposit" means a certificate of deposit placed by the State Treasurer with an eligible lending institution or an investment in bonds, notes, debentures, or other obligations with regard to an eligible lending institution for the purpose of carrying out the intent of this program;

5. "Education service entity linked deposit loan package" means the forms provided by the State Treasurer for the purpose of applying for an education service entity linked deposit; and

6. "Eligible lending institution" means a financial institution that agrees to participate in the Oklahoma Education Infrastructure Linked Deposit Program, and is eligible to be a depository of state funds.

SECTION 4. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 92.4 of Title 62, unless there is created a duplication in numbering, reads as follows:

The State Treasurer shall disseminate information about the Oklahoma Education Infrastructure Linked Deposit Program to the financial institutions in this state.

SECTION 5. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 92.5 of Title 62, unless there is created a duplication in numbering, reads as follows:

A. The State Treasurer is authorized to administer the Oklahoma Education Infrastructure Linked Deposit Program. The State Treasurer in coordination with the Statewide Charter School Board is further authorized to issue guidelines with respect to the Oklahoma Education Infrastructure Linked Deposit Program.

B. The State Treasurer shall submit an annual report outlining the status of the Oklahoma Education Infrastructure Linked Deposit Program to the Governor, the Lieutenant Governor, the President Pro Tempore of the Oklahoma State Senate, and the Speaker of the Oklahoma House of Representatives.

SECTION 6. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 92.6 of Title 62, unless there is created a duplication in numbering, reads as follows:

A. The State Treasurer is authorized to disseminate information and provide education service entity deposit loan packages to the lending institutions eligible for participation in the Oklahoma Education Infrastructure Linked Deposit Program.

B. The education service entity deposit loan package shall be completed by the borrower before being forwarded to the lending institution for consideration. Any technical assistance in

completing the education service entity loan package shall be provided by the Statewide Charter School Board.

C. 1. An eligible lending institution that desires to receive an education service entity deposit shall accept and review applications for loans from eligible education service entities. The lending institution shall apply all usual lending standards to determine the credit worthiness of each eligible education service entity.

2. Only one linked deposit loan shall be made and be outstanding at any one time to any education service entity. However, the linked deposit loan may be refinanced.

3. No loan shall be made to any officer or director of the lending institution making the loan.

D. An eligible education service entity shall certify on its loan application that the reduced-rate loan will be used exclusively for the construction or repair of eligible education service entity infrastructure.

E. In considering which eligible education service entities to include in the education service entity deposit loan package for reduced-rate loans, the eligible lending institution shall give priority to the economic and educational services needs of the area in which the education service entity is located and other factors it considers appropriate to determine the relative financial need of the education service entity.

F. 1. The eligible lending institution shall forward to the State Treasurer an education service entity deposit loan package in the form and manner prescribed and approved by the State Treasurer. The package shall include information regarding the amount of the loan requested by each eligible education service entity and any other information regarding each education service entity the State Treasurer and the Board requires. The institution shall certify that each applicant is an eligible education service entity, and shall, for each education service entity, certify the present borrowing rate applicable to each specific eligible education service entity.

2. Whoever knowingly makes a false statement concerning a linked deposit loan application shall be prohibited from participating in the linked deposit loan program.

G. Upon receipt of a completed education service entity deposit loan package, the State Treasurer may review or audit the information contained in the completed education service entity deposit loan package. The State Treasurer shall forward the completed education service entity deposit loan package to the Board. The Board shall review the education service entity deposit loan package to determine if the package qualifies under this program. The Board shall make a recommendation concerning the package within ten (10) business days. The Board shall return the package to the State Treasurer with a written recommendation of approval or rejection. If the Board recommends rejection, the written recommendation shall include reasons for the rejection. The Board shall forward a copy of the rejection notice to the lending institution and the borrower. The State Treasurer shall keep a chronological list of applications forwarded by the Board for approval or rejection.

SECTION 7. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 92.7 of Title 62, unless there is created a duplication in numbering, reads as follows:

A. The State Treasurer may accept or reject an education service entity deposit loan package or any portion of the package, based on the State Treasurer's evaluation of the eligible lending institution, the amount of individual loans in the package, the amount of the package, funds available, and the rate savings provided. If the State Treasurer recommends rejection, the written recommendation shall include reasons for the rejection in a report to the Statewide Charter School Board. The Board shall forward a copy of the rejection notice to the lending institution and the eligible education service entity. Applications brought into compliance with the Board and the State Treasurer may be resubmitted for consideration. If the State Treasurer rejects the loan because sufficient funds are not available for a linked deposit, then the applications may be considered in the order received when funds are once again available subject to a review by the Board and the lending institution. In evaluating the eligible education deposit loan package, the State Treasurer shall consider the recommendation of the Board, including the economic needs of the area where the education service entity is located.

B. Upon acceptance of the education service entity deposit loan package or any portion of the package, the State Treasurer shall notify the Board, the lending institution and the borrower. Upon

acceptance, the State Treasurer may place certificates of deposit with the eligible lending institution at a rate below current market rates, as determined and calculated by the State Treasurer with respect to the eligible lending institution at a rate below current market rates, as determined and calculated by the State Treasurer. When necessary, the State Treasurer may place certificates of deposit or may invest in obligations or securities prior to acceptance of an education service entity deposit loan package.

C. 1. The eligible lending institution shall enter into an education service entity deposit agreement with the State Treasurer, that shall include requirements necessary to implement the purposes of the Oklahoma Education Infrastructure Linked Deposit Program. The requirements shall include an agreement by the eligible lending institution to lend an amount equal to the education service entity linked deposit to eligible education service entities at an interest rate that reflects a percentage rate reduction below the present borrowing rate applicable to each specific education service entity in the accepted loan package that is equal to the percentage rate reduction below market rates at which the certificates of deposit that constitute the education service entity linked deposit were placed or at which the investments in bonds, notes, debentures, or other obligations or securities that constitute the education service entity linked deposit were made. The requirements shall also reflect the market conditions prevailing in the eligible lending institution's lending area.

2. The agreement may include a specification of the period of time in which the lending institution is to lend funds upon the placement of a linked deposit, and shall include provisions for the certificates of deposit to be placed or the investment in bonds, notes, debentures, obligations, or securities to be made for any maturity considered appropriate by the State Treasurer. No renewals will be allowed unless the amount of principal has been reduced by a minimum of five percent (5%) and all interest paid to date from the time of the prior loan or renewal. Interest shall be paid at the times determined by the State Treasurer.

SECTION 8. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 92.8 of Title 62, unless there is created a duplication in numbering, reads as follows:

A. 1. Upon the placement of an education service entity deposit with an eligible lending institution, the institution shall fund the loan to each approved eligible education service entity

listed in the education service entity deposit loan package in accordance with the education service entity deposit agreement between the institution and the State Treasurer.

2. The loan shall be at a rate that reflects a percentage rate reduction below the present borrowing rate applicable to each education service entity that is equal to the percentage rate reduction below market rates at which the certificate of deposits that constitute the education service entity deposit were placed or at which the investments in bonds, notes, debentures, or other obligations or securities that constitute the education service entity deposit were made.

3. A certification of compliance with this section in the form and manner as prescribed by the State Treasurer shall be required of the eligible lending institution.

B. The State Treasurer shall take any and all steps necessary to implement the Oklahoma Education Infrastructure Linked Deposit Program and monitor compliance of eligible lending institutions and eligible education service entities, including the development of guidelines as necessary.

SECTION 9. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 92.9 of Title 62, unless there is created a duplication in numbering, reads as follows:

The State of Oklahoma, the Statewide Charter School Board, and the State Treasurer shall not be liable to any eligible lending institution in any manner for payment of the principal or interest on the loan to an eligible education service entity. Any delay in payments or default on the part of an eligible education service entity does not in any manner affect the education service entity deposit agreement between the eligible lending institution and the State Treasurer.

SECTION 10. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 92.10 of Title 62, unless there is created a duplication in numbering, reads as follows:

A. The maximum loan amount that may be linked to deposits authorized by this act shall not exceed One Million Dollars (\$1,000,000.00).

B. The maximum term of a loan that may be linked to deposits authorized by this act shall not exceed ten (10) years, but a loan may be extended by mutual agreement between the lender and the borrower for a period of not to exceed five (5) years.

SECTION 11. This act shall become effective November 1, 2026.

Passed the House of Representatives the 11th day of March, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the 29th day of April, 2026.

Presiding Officer of the Senate

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____

Approved by the Governor of the State of Oklahoma this _____
day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____